

CHAPTER 2

Fundamental Elements in the Problem of Analysis. Quantitative and Qualitative Factors

IN THE PREVIOUS chapter we referred to some of the concepts and materials of analysis from the standpoint of their bearing on what the analyst may hope to accomplish. Let us now imagine the analyst at work and ask what are the broad considerations which govern his approach to a particular problem, and also what should be his general attitude toward the various kinds of information with which he has to deal.

FOUR FUNDAMENTAL ELEMENTS

The object of security analysis is to answer, or assist in answering, certain questions of a very practical nature. Of these, perhaps the most customary are the following: What securities should be bought for a given purpose? Should issue S be bought, or sold, or retained?

In all such questions, four major factors may be said to enter, either expressly or by implication. These are:

1. The security.
2. The price.
3. The time.
4. The person.

More completely stated, the second typical question would run, Should security S be bought (or sold, or retained) at price P , at this time T , by individual I ? Some discussion of the relative significance of these four factors is therefore pertinent, and we shall find it convenient to consider them in inverse order.